



ENCAP INVESTMENTS L.P.
EnCap Energy Capital Fund XII

Quarterly Review

As of December 31, 2024

Confidential



ENCAP INVESTMENTS L.P.

EnCap Energy Capital Fund XII

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**Section I: Summary of Significant Events and Valuation****Activity for the three months ended December 31, 2024**

Transactions		
<i>Type</i>	<i>#</i>	<i>\$ in millions</i>
Commitments	1	(193.1)
Investments	4	242.0
Distributions-Cash	0	0.0

Fund XII made a commitment reduction for the unused Grayson Mill III commitment of \$193.1 million.

Fund XII made investments in the following portfolio companies (\$ in millions):

Investments:

Double Eagle V	\$ 110.1
Black Swan II	72.7
Paloma VII	33.3
Dunamis	25.9
	<u>\$ 242.0</u>

Fund XII received no cash distributions from portfolio companies.

Fund Performance Summary (\$ in millions)

The table below presents investment performance since inception. A valuation by investment is incorporated in the subsequent table.

<i>Date of Initial Investment</i>	<i>Total Committed</i>	<i>Capital Invested</i>	<i>Realized Proceeds</i>	<i>Unrealized Value</i>	<i>Total Value</i>	<i>Gross IRR</i>	<i>Net IRR</i>
June-23	\$ 3,293.4	\$ 1,510.4	\$ 276.7	\$ 2,078.8	\$ 2,355.5	67.9%	46.5%



Portfolio Status

Fund XII								
(As of December 31, 2024; \$ in millions)								
Company	Date of Initial Investment	Commitment	Total Capital Invested	Realized Proceeds	Unrealized Value	Total Realized Proceeds & Unrealized Value	ROI	Gross IRR
<i>Realized or Substantially Realized Investments</i>								
Double Eagle IV	Jun-23	\$ 350.0	\$ 273.7	\$ -	\$ 827.7	\$ 827.7	3.0x	100.1%
Grayson Mill III	Jun-23	206.9	206.9	276.7	137.4	414.1	2.0x	65.9
		556.9	480.6	276.7	965.1	1,241.8	2.6x	87.0%
<i>Unrealized Investments</i>								
Ridge Runner	Aug-23	343.1	231.3	-	250.5	250.5	1.1	
Black Swan II	Oct-23	194.0	114.7	-	114.7	114.7	1.0	
Paloma VII	Feb-24	190.0	82.2	-	82.2	82.2	1.0	
Novo II	Feb-24	285.0	14.7	-	14.7	14.7	1.0	
Pegasus III	Mar-24	195.4	127.0	-	153.5	153.5	1.2	
Verdun III	Apr-24	285.0	164.0	-	202.2	202.2	1.2	
Double Eagle V	Sep-24	800.0	256.9	-	256.9	256.9	1.0	
Tumbleweed V	Sep-24	300.0	8.3	-	8.3	8.3	1.0	
Dunamis	Sep-24	144.0	30.7	-	30.7	30.7	1.0	
		2,736.5	1,029.8	-	1,113.7	1,113.7	1.1x	
		\$ 3,293.4	\$ 1,510.4	\$ 276.7	\$ 2,078.8	\$ 2,355.5	1.6x	67.9%

Comparison to prior quarter
(\$ in millions)

	Valuation		Q4 2024 Cash Inv. (Distrib.)	Valuation Increase (Decrease)	% Change in Unrealized from 9/30/24	Comments (> \$5MM and 5% change)
	9/30/2024	12/31/2024				
Double Eagle IV	\$ 616.2	\$ 827.7	\$ -	\$ 211.5	34.3%	Marked at PSA valuation
Grayson Mill III	160.3	137.4	-	(22.9)	-14.3%	Decrease in DVN share price
Ridge Runner	231.3	250.5	-	19.2	8.3%	Increase in activity and drilling results
Black Swan II	41.9	114.7	72.7	0.1	0.2%	
Paloma VII	48.9	82.2	33.3	-	0.0%	
Novo II	14.7	14.7	-	-	0.0%	
Pegasus III	127.0	153.5	-	26.5	20.9%	Increase in activity and drilling results
Verdun III	164.0	202.2	-	38.2	23.3%	
Double Eagle V	146.8	256.9	110.1	-	0.0%	
Tumbleweed V	8.3	8.3	-	-	0.0%	
Dunamis	4.8	30.7	25.9	-	0.0%	
	\$ 1,564.2	\$ 2,078.8	\$ 242.0	\$ 272.6	17.4%	

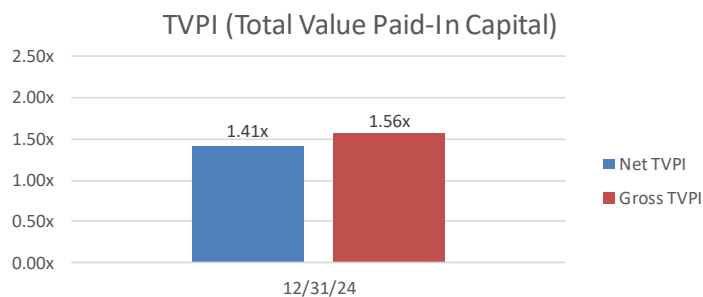


Fund Status

(\$ in millions)

	12/31/24
Total Commitments	5,247.2
Total Paid-In Capital	1,565.2
Recallable Capital	279.8
% Total Capital Drawn*	28.3%
Remaining Commitment*	3,961.8
Investments at Cost	1,510.4
Investments at FMV	2,355.5
Gains (losses) - on unrealized companies	84
Gains (losses) - on realized companies	761
Gross Distributions	277
Cash Balance	38.7
# of Companies Funded	11
# of repeat teams	9
# of new teams	2
Realized above cost	2
Realized below cost	-
Unrealized above cost	3
Unrealized at cost	6
Unrealized below cost	-
Gross Distributions:	
% of total drawdowns	17.7%
% of committed capital	5.3%
Key Fund Valuation Metrics:	
Gross IRR	67.9%
Gross DPI (Distributions to investment)	0.18x
Gross RVPI (Residual value to paid-in capital)	1.38x
Gross TVPI (Total value to paid-in capital)	1.56x
Net to LPs:	
Net IRR	46.5%
DPI (Distributions to paid-in capital)	0.18x
RVPI (Residual value to paid-in capital)	1.23x
TVPI (Total value to paid-in capital)	1.41x

Historical Fund Performance (TVPI)

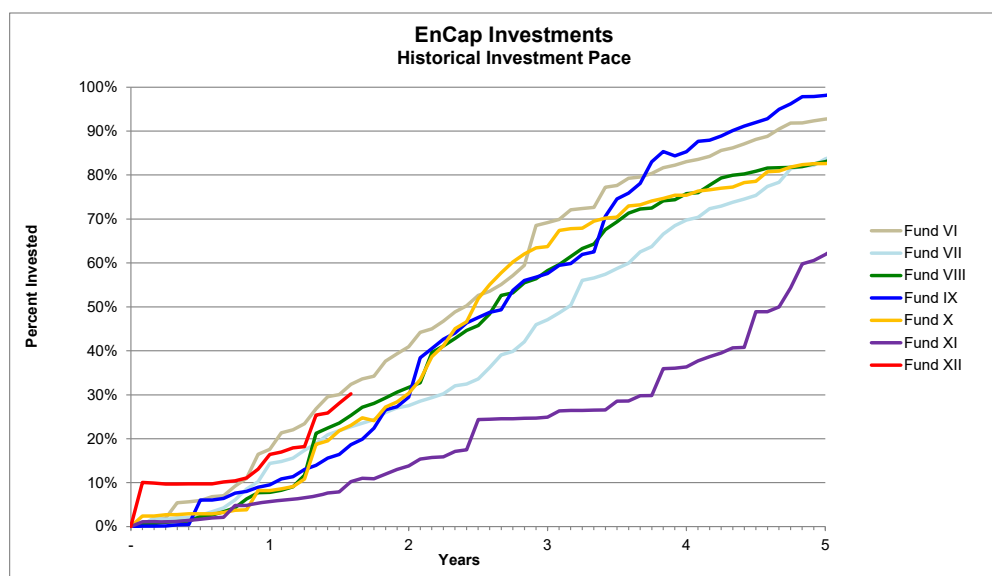
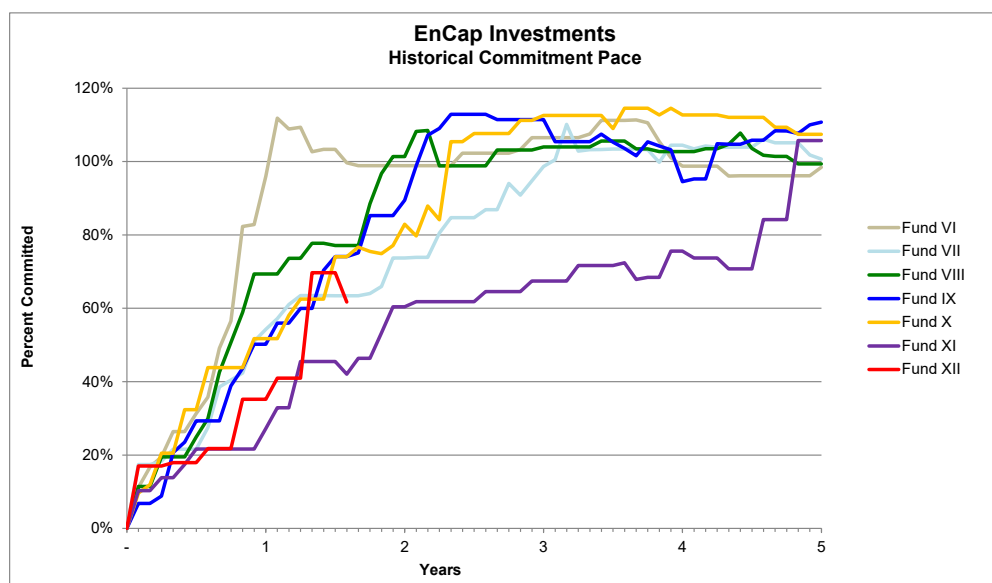


* Includes recallable capital

Projected Contributions and Distributions as a Percentage of Commitment*

	2025	2026	2027
Contributions	20%	15%	15%
Distributions	9%	5%	5%

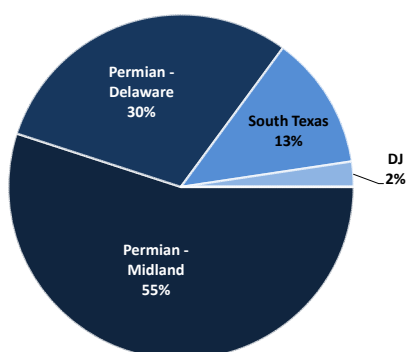
Commitment and Investment Pace



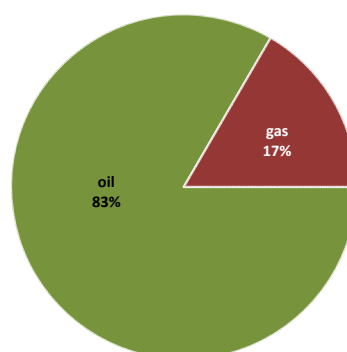
Portfolio Review and Discussion of Recent Transactions

Fund Capital Allocation

Fund XII Capital Invested By Basin (Unrealized)

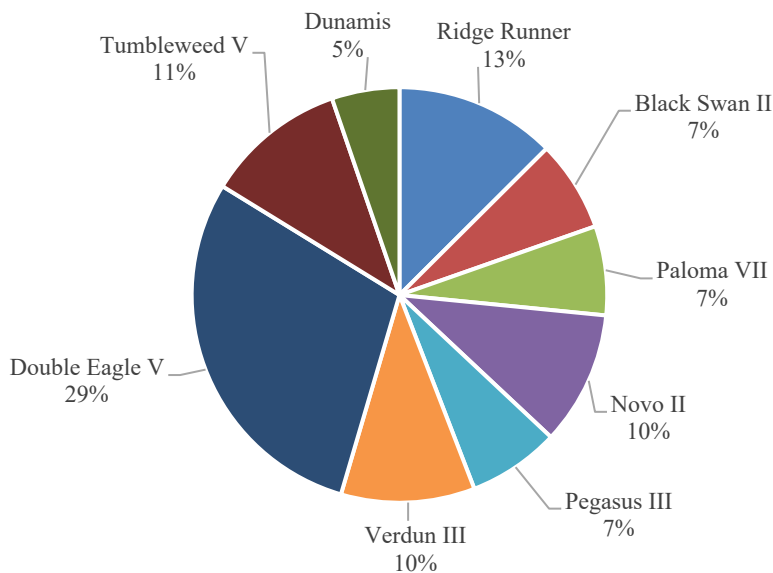


Fund XII Oil & Gas Mix
(Unrealized - Investment Weighted)



gas @20:1 mcf/bo
 NGL's included in oil @0.6bbl/bo

Fund XII Unrealized Commitment Concentration





Significant Events and Transactions

Double Eagle IV	- Announced partial sale to Diamondback Energy for ~\$4.2 billion (\$3.0 billion cash and ~\$1.2 billion stock)
Grayson Mill III	- Monitoring the market for opportunities to sell DVN shares
Ridge Runner II	- Plan to commence one-rig development program; actively evaluating numerous accretive acquisition opportunities
Black Swan II	- Began one-rig development program and continues to evaluate opportunities in the Midland Basin
Paloma VII	- Continue to execute business development strategy and initiated development program
Novo II	- Actively evaluating numerous opportunities in the Northern Delaware Basin
Pegasus III	- Closed on \$150 million of minerals transactions and amassed ~12,500 net royalty acres in the core of the Permian Basin
Verdun III	- Closed on \$225 million Eagle Ford acquisition in Q2 2024, contemplating a partial rig development program and evaluating additional bolt on opportunities
Double Eagle V	- Began acquiring and evaluating acreage in the Permian Basin
Tumbleweed V	- Began acquiring and evaluating mineral and royalty acreage in the Permian Basin
Dunamis	- Closed on a \$42.5 million acquisition of assets in the DJ Basin and continues to evaluate additional acquisition opportunities in the DJ

Environmental, Social and Governance Highlights

During the due diligence phase of our investment process, EnCap ensures that the prospective management team members are fully aligned with EnCap's Environmental, Social and Governance ("ESG") building blocks prior to making the investment decision. Upon partnering with a new team, EnCap requires each portfolio company to have a likeminded ESG policy and supporting policies and procedures in place. In addition, EnCap requires each portfolio company to report on significant ESG issues and provide details of ongoing ESG developments during each quarterly Board meeting. This information is used by EnCap to quantitatively measure ESG activities and the impact on the performance of each portfolio company.

During the quarter, EnCap managed Fund XII in accordance with ESG policies. There were no material changes to the ESG risks and opportunities facing the portfolio, and there were no material ESG incidents to report during the quarter.

Additionally, refer to our EnCap Sustainability Report available on our FIS DX website.



Other Reporting Matters

In addition to this report (which contains all fund financial statements in Section IV), the following reports net to each Limited Partner are available on our Investran DX website:

1. Statement of Partner's Capital, including allocation of the following:
 - a. Management fees
 - b. Net operating income (loss)
 - c. Realized gains (losses)
 - d. Unrealized gains (losses)
 - e. Unrealized incentive allocation
 - f. Incentive payments to the GP
 - g. Contributions paid
 - h. Distributions received
 - i. Recallable distributions received
 - j. Tax withholdings, if applicable
 - k. Portfolio company summary cash flows
2. Status of Payout
3. ILPA Fee and Expense Reporting Template

Other reporting available on our Investran DX website includes:

1. Cash call and distribution notices
2. Quarterly management fee calculations
3. Supplemental fund and portfolio company information (available 45 days after quarter end; 105 days after year end)
 - a. Fund organization information
 - b. Portfolio company organization information
 - c. Portfolio company financial information
4. Supplemental Schedule of Investments
5. All tax reporting
6. Annual audited financial statements
7. Advisory Board presentations
8. Legal documents

Please contact Katherine Cangelosi at Kcangelosi@encapinvestments.com if log on assistance is needed.



Section II: Industry Overview

Crude Oil Overview

Crude oil spot prices (“WTI”) finished up ~5% QoQ and were roughly flat YoY, finishing up <1%. The 12-month oil strip remained constructive during the quarter finishing at ~\$70/Bbl. After quarter-end and at the time of this report, the 12-month oil strip was still hovering at ~\$70/Bbl. The market is continuing to closely watch economic growth data around the world as well as escalating global tensions. The new Trump administration is strongly advocating for increased production both domestically and abroad, but most analysts expect domestic and OPEC+ production to remain relatively range bound for during 2025. For the remainder of the year the oil market will remain focused on 1) global economic data, namely China 2) escalating Middle Eastern tensions and 3) OPEC+’s future policies. Current oil prices remain constructive for M&A/A&D activity, and 2025 is expected to be an active year.

Natural Gas Overview

Natural gas spot prices (“Henry Hub”) had a strong quarter, finishing up ~16%, but still down ~11% YoY. The quarterly uptick in gas spot prices was mainly driven by cold winter weather demand. The 2-year gas strip finished the quarter at ~\$4/MMBtu driven mainly by tailwinds from potential data center power demand and LNG growth. LNG projects are expected to begin to come online in mid/late 2025.

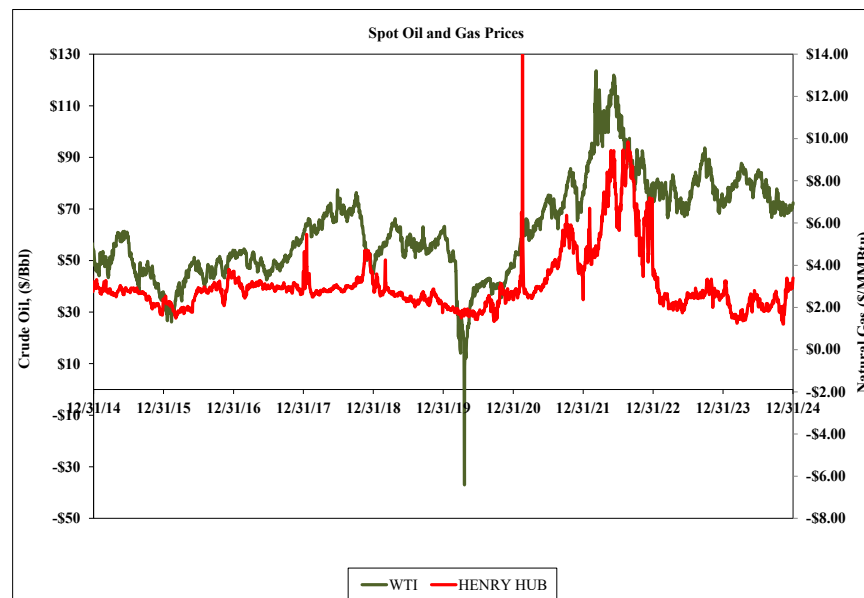


Figure 1: Oil & Gas Spot Prices

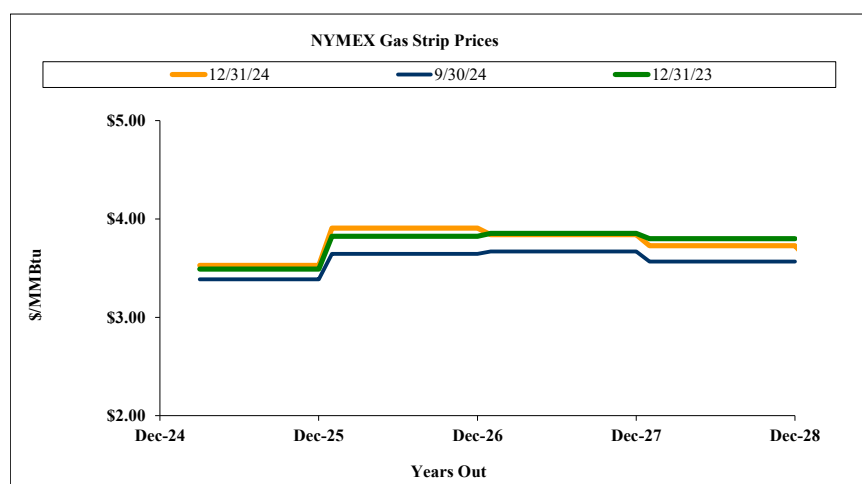


Figure 2: Natural Gas (Henry Hub) Strip Prices

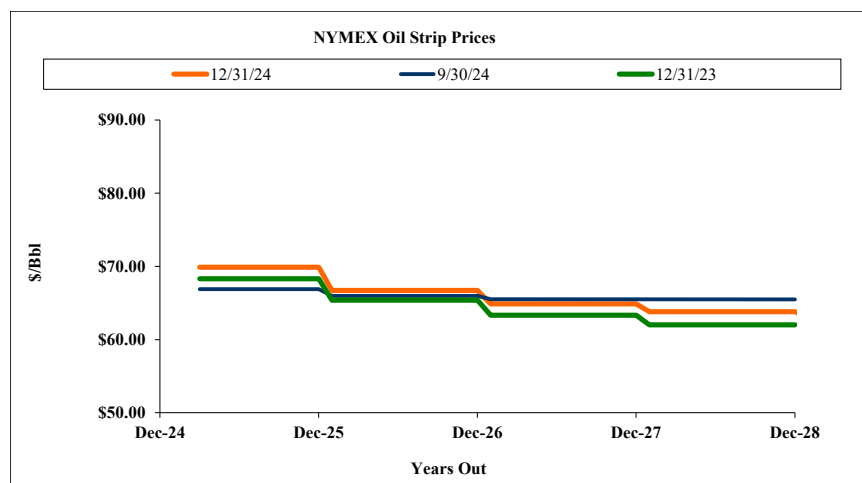


Figure 3: Crude Oil (WTI) Strip Prices

Drilling Activity

During Q4 2024, the total U.S. rig count (as measured by Baker Hughes) was flat QoQ, but down ~5% YoY. The U.S. total natural gas rig count finished the quarter at 102 rigs, up from 99 rigs running at the end of Q3 2024. Year-over-year, the U.S. total natural gas rig count finished down ~15%. The U.S. total oil rig count was down ~1% in Q4 2024, moving from 487 rigs at the beginning of the quarter to 483 rigs at quarter-end. Year-over-year, the U.S. total oil rig count finished down ~3% or ~17 rigs.

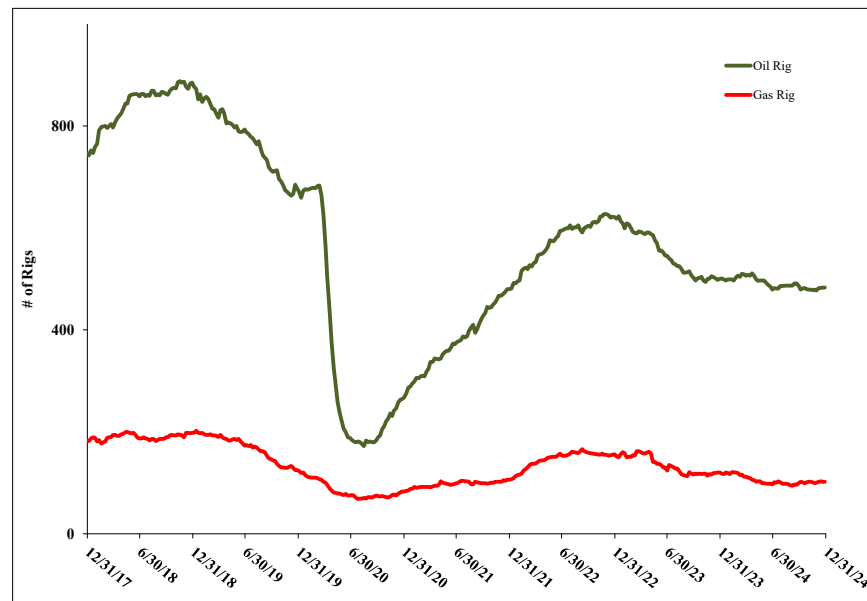


Figure 5: U.S. Total Onshore and Offshore Rig Count

M&A Activity

The upstream M&A market finished 2024 strong with ~\$105 billion in total transaction value, which was the third highest year in history. Mega transactions (>\$10 billion) accounted for ~\$60 billion of the total transaction value. EnCap sold companies accounting for ~25% of the remaining \$40 billion in total transaction value. The market, however, did slow during Q4 2024 to \$9.6 billion in total transaction value. The Permian Basin accounted for ~40% of the total transaction value during the quarter and the Permian Basin remained a focus for buyers. Notable upstream M&A deals during the quarter included 1) Coterra's acquisition of Franklin Mountain's Delaware Basin assets for \$4.0 billion 2) FourPoint's acquisition of Ovintiv's Uinta Basin assets for \$2.0 billion and 3) Equinor's acquisition of EQT's non-operated assets in Pennsylvania for \$1.3 billion.

Report Sources: Enverus, Baker Hughes, Rapidan Energy Group and National Bank of Canada.



ENCAP INVESTMENTS L.P.

EnCap Energy Capital Fund XII

Section III: Portfolio Companies

1. DOUBLE EAGLE IV
2. GRAYSON MILL III
3. RIDGE RUNNER II
4. BLACK SWAN II
5. PALOMA VII
6. NOVO II
7. PEGASUS III
8. VERDUN III
9. DOUBLE EAGLE V
10. TUMBLEWEED V
11. DUNAMIS



Valuation Assumptions

Valuations have generally been determined as follows (subject to adjustment for particular circumstances and review by the Advisory Board):

- 1) Private equity securities and mineral interests held during the initial investment period are valued at cost (which is considered fair value) until such time as there is a measurable change in fair market value based upon the assumptions below.
- 2) Private equity exploration and production investments held after the initial investment period (generally longer than twelve months unless an expansion from an earlier fund) are valued at the risk adjusted PV10 of the future cash flow stream. The future cash flow stream is based on third party engineered projections applying the NYMEX forward strip pricing as of the valuation date.

The reserve categories were generally risked as follows:

- a. PDP – no discount applied
- b. PDNP – a 20% discount applied
- c. PUD – a 40% discount applied
- d. Probable – a 80% discount applied
- e. Possible – a 90% discount applied

The average NYMEX strip prices by year as of December 31, 2024 were as follows:

	<u>\$/BO</u>	<u>\$/MMBTU</u>
2025	69.86	3.53
2026	66.70	3.91
2027	64.88	3.84
2028	63.81	3.73
2029+	63.07	3.58

Unevaluated oil and gas leaseholds and other operating assets, such as gathering systems and processing plants, are valued at measurable inputs, such as original acquisition price and more recent public or private transactions in similar assets.

- 3) Non-producing and early stage mineral interests and ORRIs are valued at precedent transactions or discounted cash flows if underlying third-party reserve reports are available. Mature producing mineral interests and ORRIs are valued using a cash flow multiple of forecasted next 12 month cash flow. The cash multiple utilized is derived by taking into consideration market and asset specific factors including, but not limited to: location; life cycle or maturity of the asset; projected growth profile; precedent transactions; and comparable public market trading multiples.
- 4) Double Eagle IV is valued based on the terms of their expected sale agreement.
- 5) Grayson Mill III is valued based on the expected indemnity holdbacks per the terms of the sale agreement and Devon Energy Corporation (NYSE: DVN) common units (3.687 MM) valued at the quarter end share price of \$32.73.

Note: Valuation assumptions 1) through 5) as presented above apply to all investments currently held by Fund XII. The remaining assumptions constitute the standardized valuation methodology to potentially be applied in future periods and are provided for informational purposes only.



- 6) Non-restricted public securities are valued at the quoted price at the end of the quarter.
- 7) Subordinated and restricted public securities (assuming adequate float) are valued at 90% of the quoted price at the end of the quarter.
- 8) Debt securities are valued at the face amount of the note plus accrued interest (less any reserve for uncollectible amounts or credit risk discounts).
- 9) Redeemable preferred securities are valued at the face amount of the issue plus accrued dividends (less any reserve for uncollectible amounts).
- 10) Other private/public equity securities with limited trading volume are valued based on relevant factors including NAV, comparables, significant events, etc.



Double Eagle Energy Holdings IV, LLC

Substantially Realized

Company Description

Double Eagle Energy Holdings IV, LLC (“Double Eagle”) was formed in March 2022 and is based in Fort Worth, TX. Double Eagle is led by Cody Campbell (Co-CEO) and John Sellers (Co-CEO), as well as Blake Carpenter (CCO), Joshua Gregg (CFO), and Garrett Martin (COO). Mr. Campbell and Mr. Sellers founded the first iteration of Double Eagle in 2009 with a focus on acquiring and flipping leases in the early days of the shale land grab. From 2009 to 2012 Double Eagle was primarily focused on the Haynesville and Eagle Ford. Double Eagle was one of the first movers in the oil window of the Eagle Ford and sold tens of thousands of acres to Chesapeake, Enduring, and Hilcorp.

Management formed Double Eagle II in 2014 with a focus on the Midland Basin. Over the course of 24 months, Double Eagle leveraged deep industry and in-basin relationships as well as an unparalleled “land machine” to build a position of ~71,000 net acres in the core of the Midland Basin. Double Eagle II invested a total of ~\$520 million in the assets, and ultimately sold to Parsley in 2017 for ~\$2.8 billion, realizing a gross 3.3x ROI and 95% IRR.

Following the success of Double Eagle II, Management formed Double Eagle III to re-enter the Midland Basin in 2017. Shortly after formation, Double Eagle III merged with Four Point to form DoublePoint. The team ultimately invested a total of ~\$1.8 billion in acquisitions and development capital. Management executed on a sophisticated ground game, closing 78 acreage trades over 50,000 net acres, to create a blocky drill-ready position of ~98,000 net acres in the core of the Midland Basin. The team successfully operated 7 horizontal rigs with 3 frac crews, drilling 266 wells and growing production from 8 MBOED in Q1 of 2019 to 90 MBOED in April of 2021. DoublePoint ultimately sold to Pioneer in May of 2021 for ~\$6.4 billion, representing a gross 3.1x ROI and 43% IRR.

Double Eagle intends to leverage its industry relationships to create a core acreage position in the Midland and Delaware Basins through acquisitions and acreage swaps. Management will use its proven operating abilities to develop the assets and ultimately create a sizable cash flowing business that will be attractive to buyers in any market environment.

Transaction Summary

Double Eagle was initially capitalized with a \$1.1 billion common equity commitment, which includes \$1.0 billion from Fund XI and \$100 million from Management. For up to 90 days after closing, we allowed Management to raise commitments from Friends and Family of up to \$100 million, which would reduce Fund XI’s commitment on a dollar-for-dollar basis. Any additional commitments from Friends and Family would be added to the total commitment amount, with a maximum expansion of \$50 million.

In Q2 2022, Double Eagle closed on additional commitments from Friends and Family, raising the total commitment to be \$1.15 billion. This includes \$900 million from Fund XI, \$154 million from Friends and Family, and \$100 million from Management.

In Q1 2023, Double Eagle’s commitment was expanded by 50% in order to continue acreage acquisitions and execution at scale with the intention to transfer the commitment to Fund XII upon fundraising first close and Fund XI will receive a return of 8% for dollars previously funded. This matter was brought to the Fund XI advisory board in Q4 2022 who approved the expansion and subsequent commitment transfer.

In Q2 2023, Double Eagle’s \$450 million commitment expansion was transferred from Fund XI to Fund XII and Fund XI received a return of 8% from Fund XII for dollars previously funded. In Q3 2023, \$100 million of the Fund XII commitment was transferred to select co-investors.

Recent Events

On February 14, Double Eagle IV signed a PSA with Diamondback Energy, Inc. (NASDAQ: FANG) (“Diamondback”) to sell a portion of DE IV’s Midland Basin assets in the northern area of the play (“North



Midland”) for total proceeds of \$4.2 billion. The consideration mix consists of \$3.0 billion in cash and \$1.2 billion in Diamondback stock (6.9 million shares based on the 30-day VWAP at signing of \$169.34). EnCap believes this is a highly attractive valuation for these assets, and yields a strong return for the Funds’ investments. The transaction is expected to close in April 2025, and there will be no lock-up period on the received shares.

Double Eagle IV will additionally retain assets in the southern part of the Midland Basin (“Retained South”), primarily in Reagan County. The Retained South assets include ~\$1.3 billion of PDP and ~20,000 net acres. As part of the sale agreement, DE IV and Diamondback have agreed to a drilling program that will see Double Eagle IV operating on a portion of Diamondback’s acreage in the Southern part of the Midland Basin. DE IV will accelerate the current development pace, bringing forward value to both DE IV and Diamondback.

Valuation (\$000’s)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
June-23	\$273,703	\$0	\$827,716	\$827,716	3.02x	100.1%



Grayson Mill Energy III, LLC

Substantially Realized

Company Description

Grayson Mill Energy III is a privately held, Houston-based independent oil and gas company focused on the development of oil and gas properties in the Williston basin. The Grayson Mill III management team is comprised of the same senior management team as Grayson Mill I and Grayson Mill II. The team is led by Eric Bayes (CEO), Blake Sullens (COO), Matt Ultis (CFO), and Dewey Gerdorn (VP-Business Development). Mr. Bayes was previously VP Operations with Oasis Petroleum (“Oasis”), where he managed the entirety of Oasis’ operations team in the Bakken, which included 16 rigs, six frac crews, and over 300 employees at its peak. While at Oasis, Mr. Bayes was being groomed to be a future leader of the company prior to deciding to pursue his own venture. Mr. Sullens was most recently Operations Manager at Alta Resources, where he played a critical role in the execution and success of the company’s Duvernay asset. He brings a unique combination of operational, engineering, and petrophysical expertise to the team. Mr. Ultis was previously CFO of Redman Management Company (GSO portfolio company) and also held various corporate planning, finance, and investor relations roles at Oasis. Mr. Gerdorn previously served as VP-Business Development at Bright Horizon Resources, where he focused on the Midcontinent and East Texas basins. Prior to Bright Horizon Resources, Mr. Gerdorn worked at PDC Energy for nineteen years, where he was part of the original team that formed PDC’s successful strategy to enter the Wattenberg and Piceance basins. Grayson Mill represents a strong, data-driven and operational team well situated to execute the company’s strategy in the Bakken.

Transaction Summary

Grayson Mill Energy III was formed in Q2 2023 in conjunction with the announced acquisition of Ovintiv’s Bakken assets for \$825 million. At signing, Fund X and Fund XI posted a ~\$41 million deposit to secure the deal. Subsequently, the company was capitalized with \$904 million of total equity commitments: (i) \$67 million Fund X, (ii) \$133 million Fund XI, (iii) \$400 million Fund XII, (iv) \$300 million co-investors, and (v) \$4 million management. Management’s initial \$4 million commitment will expand up to \$20 million as ongoing distributions are made from Grayson Mill II. Approximately \$245 million of the \$300 million in commitments from co-investors was closed in June 2023, and the balance closed in July 2023. The investment is structured in the form of common equity with investors receiving a proportionate share of the distributions until an 8% IRR and 1.00x ROI is achieved. Thereafter, distributions will be allocated on a graduated basis after certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

In Q2 2023, Grayson Mill III closed its acquisition of Ovintiv’s Bakken assets for \$825 million. Ovintiv’s Bakken assets include ~44k net acres producing ~34 MBoe/d net (80% liquids). The valuation was highly compelling with significant hard value coverage and purchased at a ~2.0x EBITDA multiple. The asset has significant upside in the form of ~200 gross / ~130 net risked development locations and refrac opportunities. EnCap believes the team is well-equipped to efficiently operate and develop its inventory, while also adding additional inventory through the company’s ongoing business development efforts.

Management formally brought operations in-house in Q3 2023 and initiated a 1-rig program and began performing refracs in conjunction with new development. Well results to date have been in-line with initial expectations.

On September 27, 2024, EnCap closed on the previously announced sales of Grayson Mill II and Grayson Mill III’s operated and non-operated properties in the Williston Basin to Devon Energy (NYSE: DVN) for total consideration of \$5.0 Billion, comprised of \$3.425 Billion in Cash and \$1.715 Billion in equity (priced at \$47.03 / share prior to announcement). Value allocation was determined by the buyer, with DVN allocating \$3.65 Billion to Grayson Mill II and \$1.35 Billion to Grayson Mill III. The DVN common stock is not subject to any lockup post-closing.



Grayson Mill successfully built an attractive asset base through a combination of acquisitions, trades and new leases and executed a large-scale development program to create significant value. The Grayson Mill assets offered a combination of scale, meaningful free-cash-flow, and high-quality inventory that attracted a strong buyer in Devon to facilitate a compelling exit.

Recent Events

Currently EnCap holds 23.2 million DVN shares from the sale of Grayson Mill II and Grayson Mill III (6.5 million Fund X, 13.0 million Fund XI, and 3.7 million Fund XII). EnCap will monitor the market for future opportunities to sell shares but continues to have confidence in the company's ability to generate shareholder value.

Valuation (\$000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
June-23	\$206,914	\$276,750	\$137,404	\$414,154	2.00x	65.9%

**Ridge Runner Resources II, LLC****Company Description**

Ridge Runner Resources II, LLC (“Ridge Runner” or “the Company”) was formed in August 2023 and is based in Houston, TX. Ridge Runner is led by Scott Germann (Co-CEO/Chairman) and Brian Cassens (Co-CEO), as well as Aaron Gaydosik (CFO) and Brad Grandstaff (COO). The core management team previously worked together to orchestrate the turnaround at Chisholm Energy (Warburg Pincus) which ultimately sold to Earthstone in February 2022 for \$604 million, representing a 4.5x value uplift from when the new management team took over operations.

Ridge Runner will initially focus its efforts in the Delaware Basin where management can leverage its deep network of contacts, technical understanding of subsurface dynamics, and recent operational experience as it employs an acquire, exploit, and optimization strategy of undervalued, liquids-rich assets.

Transaction Summary

In August 2023, Fund XII committed \$146.3 million and management committed \$3.8 million, providing a total equity commitment of \$150.0 million to the Company. The investment is structured in the form of common equity with Fund XII receiving 97.5% of distributed cash until an 8% IRR or 1.25x ROI is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

In Q4 2024, Ridge Runner’s commitment was expanded by \$200.0 million (\$196.8 million from Fund XII; \$3.2 million from Management) to fund the closing of a significant transaction across Lea, Eddy, and Chaves Counties, NM and to provide dry powder for future capital needs.

Post Investment Activity

In October 2024, Ridge Runner closed on the acquisition of ~17,700 net acres across Lea, Eddy, and Chaves Counties, NM for \$184.0 million. At acquisition, the assets were producing ~4,500 Boe/d and included 60 gross/19 net operated locations in the core development fairways of the Northern Delaware Basin. There is potential to dramatically increase working interest through forced pooling, trades, and bolt-on opportunities. Additionally, the assets come with significant non-op currency in the heart of Lea County that can be used to further promote trades.

Recent Events

Ridge Runner continues to work numerous business development opportunities throughout the Northern Delaware Basin, adding highly-economic drilling inventory. The company plans to commence a one-rig development program in 2025 in order to pull value forward through the drillbit.

To-date, Ridge Runner has drilled and completed its first 3-well pad on time and under budget and has aggregated ~27,200 net acres.

Valuation (\$000’s)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Aug-23	\$231,319	\$0	\$250,499	\$250,499	1.08x	N/A

**Black Swan Oil & Gas II, LLC****Company Description**

Black Swan Oil & Gas II (“Black Swan II”) is a privately-held, Oklahoma City-based independent oil and gas company focused on the identification, acquisition, and exploration of liquids-rich plays in various onshore US basins. The Black Swan II management team is largely made up of individuals responsible for Black Swan’s successful sale to Ovintiv (NYSE: OVV) and will be led by Ian Yingling (CEO), David LaLonde (CFO), Sean Nguyen (VP - Operations), Alex Hester (VP – Land & Business Development), and Andrew Clark (Geology Manager). Management has an established track record in multiple basins with varying strategies, and we view this repeat team as having the ability to identify, capture, and execute on attractive investment opportunities.

Black Swan II will initially focus its efforts in the Midland Basin where Management can leverage its deep network of contacts, technical understanding of subsurface dynamics, and recent operational success in the northern side of the Basin. Management believes there are actionable consolidation opportunities as both public and private operators look to offload assets. Black Swan II will also remain opportunistic as it relates to other basins given its experience across multiple U.S. basins.

Transaction Summary

Black Swan II was initially capitalized with a \$200 million total equity commitment, which includes \$194 million from Fund XII and \$6 million from Management. The investment is structured in the form of common equity, with Fund XII receiving a proportionate share of distributions until an 8% IRR is achieved. Thereafter, distributions will be allocated on a graduated basis after certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Recent Events

Black Swan II has aggregated ~15,500 net acres in the Midland Basin since inception. The company continues to actively evaluate both large-and small-scale opportunities in the area to further bolster their position. The company initiated a one-rig development program in the fourth quarter of 2024, and has drilled 15 wells to date, bringing 5 to production. The company will continue to run a one-rig program on the asset while evaluating further business development opportunities.

Valuation (\$000’s)

The investment in Black Swan II is carried at cost (which approximates fair value).

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Aug-23	\$114,673	\$0	\$114,673	\$114,673	1.00x	N/A

**Paloma Permian Holdings, LLC****Company Description**

Paloma Permian Holdings, LLC (“Paloma VII”) is a privately held, Houston-based company led by Chris O’Sullivan (President), Mark Gabrisch (EVP, Land/Legal), Bobby Poirrier (EVP, CFO), Will Derrick (EVP, Business Development), and Andrew Keck (SVP, Land & GC). This new entity marks EnCap’s eighth partnership with management dating back to 1998. Paloma VII will seek to leverage its proven land and business development capabilities to aggregate a leasehold position in Eddy and Lea Counties, New Mexico through a combination of leasing, farm-ins, trades, and acquisitions. These capabilities were instrumental in the value creation stories of prior successful Paloma entities in the Barnett, Eagle Ford, Utica, Mid-Continent, and Haynesville. Similar to Paloma VII’s entry into the Delaware Basin, each of these prior plays were areas where the team did not have previous track records of building companies or deploying its ground game. Management will take a highly opportunistic approach in its business development efforts and will put an emphasis on transactions that are either difficult in nature or require significant land efforts and creativity.

Transaction Summary

Paloma VII was formed in January 2024 with a \$200.0 million total commitment, which includes \$190.0 million from Fund XII and \$10.0 million from management. The investment is structured in the form of common equity, with Fund XII receiving a proportionate share of distributions until an 8% IRR and 1.0x ROI is achieved. Thereafter, distributions will be allocated on a graduated basis after certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers. Certain executive members of the management team will continue to dedicate their time to both Paloma VI and Paloma VII, and overhead will be allocated based off direct costs and time served, which is reviewed and approved by the Board of Managers.

Recent Events

Paloma VII is progressing its business development plan in the Northern Delaware Basin and has line-of-sight to aggregate several operated DSUs in the near term. The team continues to evaluate numerous opportunities to expand its asset base. The company initiated a development program in late 2024 and is currently running one rig.

Valuation (\$000’s)

The investment in Paloma VII is carried at cost (which approximates fair value).

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Feb-24	\$82,175	\$0	\$82,175	\$82,175	1.00x	N/A

**Novo Oil & Gas Holdings II, LLC****Company Description**

Novo Oil & Gas Holdings II, LLC (“Novo II”) is a privately held, Oklahoma City-based independent upstream company. Novo II is led by John Zimmerman (CEO), Kurt Shipley (COO), Brandon Patrick (President & CCO), and David Avery (CFO), all returning members of the Novo I team. Novo II intends to focus its efforts in the Northern Delaware Basin where management will leverage existing relationships and recent operational success.

Transaction Summary

Novo II was formed in February 2024 with a \$300.0 million commitment, which includes \$285.0 million from Fund XII and \$15.0 million from management. The investment is structured in the form of common equity, with Fund XII receiving 95.0% of distributed cash until an 8.0% IRR and 1.10x ROI is achieved. Thereafter, distributions will be allocated on a graduated basis after certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Recent Events

Novo II is actively evaluating numerous opportunities in its core focus area of the Northern Delaware Basin.

Valuation (\$000's)

The investment in Novo II is carried at cost (which approximates fair value).

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Feb-24	\$14,725	\$0	\$14,725	\$14,725	1.00x	N/A

**Pegasus Resources Holdings III, LLC****Company Description**

Pegasus Resources Holdings III, LLC (“Pegasus III”) is a privately-held, Fort Worth-based company focused on the acquisition and aggregation of mineral interests and overriding royalties in the core of the Permian Basin. Pegasus II is led by George M. Young Jr. (CEO), Will Rodgers (President), Lynn Frank (CFO), Scott Hargrove (VP-Land), and David Hvyl (Sr. Reservoir Engineer). Mr. Young was formerly CEO of Silverback Exploration, a Fund IX portfolio company, which sold its Delaware Basin assets to Centennial Resource Development in December 2016 for \$855 million, which generated a 3.1x ROI net to Fund IX. Management originally formed Pegasus Resources Holdings, LLC (“Pegasus I”) in 2017, which was consolidated into EnCap Minerals, LLC in June 2021. Management now manages EnCap Minerals in addition to Pegasus II and Pegasus III.

In continuation of the business plans of Pegasus I and Pegasus II, Pegasus III’s strategy is to selectively acquire mineral and royalty interests in top-tier economic areas of the Permian Basin that have a high probability of being actively and densely developed within underwriting standards that achieve target returns. The Pegasus team utilizes a data driven approach when analyzing potential acquisitions with a keen focus on technical parameters, development timing, and land configuration/lease details. Additionally, the team has extensive experience and a strong network in the Permian Basin, which Pegasus III will leverage to capture proprietary opportunities.

Transaction Summary

Pegasus III was formed in February 2024 with a \$200.0 million total commitment, which includes \$195.4 million from Fund XII and \$4.6 million from management. The investment is structured in the form of common equity, with Fund XII receiving a proportionate share of distributions until an 8% IRR and 1.25x ROI is achieved. Thereafter, distributions will be allocated on a graduated basis after certain return targets are met. EnCap holds a majority position on the Board of Managers. Overhead between EnCap Minerals, Pegasus II, and Pegasus III, is allocated based off direct costs and attention served and is reviewed and approved by the Board.

Recent Events

Since inception in March 2024, Pegasus III has closed ~\$150 million of minerals transactions and amassed ~12,505 net royalty acres substantially located in the core of the Permian Basin. Pegasus III’s portfolio remains largely undeveloped, and the company expects significant growth through increased industry activity and further acquisitions. Pegasus III remains active in evaluating opportunities in the core of the Permian Basin and continues to identify multiple actionable opportunities consistent with its strategy.

Valuation (\$000’s)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Mar-24	\$127,019	\$0	\$153,491	\$153,491	1.21x	N/A

**Verdun Oil Company III, LLC****Company Description**

Verdun Oil Company III, LLC (“Verdun III”) is a privately held, Houston-based independent upstream company led by the same team as Verdun I and Verdun II which consists of Tim Nein (CEO), Danny Savitz (CFO), Jason LaGrega (COO), Will Rider (EVP Land & BD), and Martin Perez (EVP Engineering).

Verdun III was formed in April 2024 to acquire Repsol’s Eagle Ford assets for \$225 million. The company is capitalized with a \$300 million total commitment, which includes \$285 million from Fund XII and \$15 million from management. The investment is structured in the form of common equity, with Fund XII receiving a proportionate share of distributions until an 8% IRR is achieved. Thereafter, distributions will be allocated on a graduated basis after certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Transaction Summary

Verdun III’s \$225 million acquisition of the Repsol assets encompasses ~34,000 net acres primarily in La Salle County, producing ~10 Mboe/d (20% oil, 60% liquids). Inclusive of newer wells put online, Management’s base assumption for PDP PV10 is ~\$109 million. Management believes that 82 gross development locations exist with compelling economics. Adjusting for PDP, Management believes that greenfield sticks are being acquired for ~\$1.4 million per location. Additionally, Management has identified a number of refrac opportunities representing additional upside.

The current forecast for Verdun III calls for a partial rig development program that grows production to >15 Mboe/d by year-end 2024 and >25 Mboe/d by year-end 2025. At NYMEX strip, 2H 2024 EBITDA and 2025 EBITDA is projected to be ~\$39 million ~\$175 million respectively and the asset would become free-cash-flow positive in early 2025. A distribution program is expected to be initiated in 2025 dependent on commodity prices and leverage profile.

A \$27 million deposit was funded in April 2024 to secure the asset. The acquisition effective date is May 1, 2024 and closing occurred in June 2024.

Recent Events

Management closed on \$225 million acquisition of Eagle Ford assets in Q2 2024. The team is contemplating a partial rig development program while actively evaluating additional bolt on opportunities.

Valuation (\$000’s)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Apr-24	\$164,000	\$0	\$202,172	\$202,172	1.23x	N/A

**Double Eagle Energy Holdings V, LLC****Company Description**

Double Eagle Energy Holdings V, LLC (“Double Eagle”) is a privately held, Fort Worth-based independent upstream company formed in September 2024. Double Eagle V is led by the same team as Double Eagle IV which consists of Cody Campbell (Co-CEO) and John Sellers (Co-CEO), as well as Blake Carpenter (CCO), Joshua Gregg (CFO), and Garrett Martin (COO). Double Eagle intends to leverage its industry relationships to create a core acreage position in the Midland and Delaware Basins through acquisitions and acreage swaps. Management will use its proven operating abilities to develop the assets and ultimately create a sizable cash flowing business that will be attractive to buyers in any market environment.

Transaction Summary

Double Eagle V will initially be capitalized with a \$1.09 billion common equity commitment comprised of \$900 million from Fund XII and \$190 million from legacy Double Eagle investors and Management. EnCap plans to transfer \$100 million of the Fund XII commitment to Fund XI. Legacy Double Eagle investors and Management will have the ability to increase their combined commitment amounts after initial close such that total commitments equal \$1.875 billion. Funds controlled by EnCap will be no less than 65% of the final commitment amounts. EnCap will control the board and approve all major decisions with Management retaining some negative control given their substantial equity commitment to the business.

Recent Events

As of December 31, 2024, Double Eagle V has called \$350 million of its equity commitment to begin acquiring Permian acreage, amassing ~25,000 net acres to date.

Valuation (\$000's)

The investment in Double Eagle V is carried at cost (which approximates fair value).

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Sep-24	\$256,881	\$0	\$256,881	\$256,881	1.00x	N/A



Tumbleweed Royalty V, LLC

Company Description

Tumbleweed Royalty V (“Tumbleweed V”) is a privately held, Fort Worth-based independent upstream company formed in September 2024. Tumbleweed V is led by the same team as Tumbleweed IV which consists of Cody Campbell (Co-CEO) and John Sellers (Co-CEO), as well as Grant Wright (President), Blake Carpenter (CCO), and Ben Faith (COO). Tumbleweed intends to leverage its industry relationships to identify and acquire mineral and royalty interest in the Midland and Delaware Basins.

Transaction Summary

Tumbleweed V will initially be capitalized with a \$363 million common equity commitment, consisting of \$300 million from Fund XII, \$37 million from legacy Double Eagle investors (“DE Investors”) and \$27 million from Management. Management and DE Investors will have the ability to increase their combined commitment amounts after initial close such that total commitments equal \$625 million. Funds controlled by EnCap will be no less than 65% of the final commitment amounts.

Recent Events

As of December 31, 2024, Tumbleweed V has called \$10 million of its equity commitment to begin acquiring net royalty acres in the Permian Basin.

Valuation (\$000's)

The investment in Tumbleweed V is carried at cost (which approximates fair value).

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Sep-24	\$8,257	\$0	\$8,257	\$8,257	1.00x	N/A

**Dunamis Energy, LLC****Company Description**

Dunamis Energy, LLC (“Dunamis”) is a privately held, Denver-based independent upstream company. Dunamis is led by John McCready (CEO), Seth Foreman (CFO), Scott Hansen (Head of Upstream Operations), Ben Jackson (Head of Asset Evaluation & Technical Review), and Rick Opat (Head of Midstream Operations & Facilities). Mr. McCready previously served as CFO of Felix Energy Holdings II LLC (“Felix”) (Fund X), where he, Ben Jackson (VP of Reservoir Engineering at Felix), and Rick Opat (COO at Felix Water & Midstream) were instrumental in Felix’s rapid growth in the Delaware Basin and ultimate March 2020 exit to WPX Energy for \$2.5 billion.

Dunamis intends to focus on building a position in the DJ Basin, where we believe there currently exists a unique opportunity to build a large asset base with low risk, highly economic drilling inventory.

Transaction Summary

Dunamis was formed in September 2024 and is capitalized with a \$150.0 million commitment, including \$144.0 million from Fund XII and \$6.0 million from management. The investment is structured in the form of common equity, with Fund XII receiving a proportionate share of distributions until an 8% IRR is achieved. Thereafter, distributions will be allocated on a graduated basis after certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Recent Events

In October 2024, Dunamis closed on its \$42.5 million acquisition of Chord’s DJ Basin assets. The acquisition was 100% underpinned by PDP value and includes meaningful, low risk, highly economic, undrilled drilling inventory. The assets consist of ~32,000 net acres located in rural Weld County on the Northwest side of the DJ Basin, with current production of ~1 Mboe/d.

Valuation (\$000’s)

The investment in Dunamis is carried at cost (which approximates fair value).

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Sep-24	\$30,720	\$0	\$30,720	\$30,720	1.00x	N/A



ENCAP INVESTMENTS L.P.

EnCap Energy Capital Fund XII

Section IV: Financial Statements

Audited 2024 financial statements to be provided by March 31, 2025